

CANDIDATE'S NAME.....

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*Personal number*



# **Apex Examination Council**

**PRE-MOCK EXAMINATIONS SET ONE 2026**

**UGANDA ADVANCED CERTIFICATE OF EDUCATION**

**ECONOMICS PAPER 2**

**INSTRUCTIONS:**

**TIME: 3 HOURS**

- This paper consists of two sections A and B. Section A has two compulsory items. Section B has 3 items; you are required to choose only two items from section B.
- Answer four (4) items in all
- Illustrate your answers with relevant diagrams where necessary.
- All responses should be clear, logical and well explained.
- All items carry equal marks.

## **SECTION A**

### **Answer all items in this section**

#### **ITEM 1**

Uganda has registered positive economic growth over the last decade due to increased investment in infrastructure, expansion of the services sector, growth in agricultural production and the discovery of commercial oil reserves. However, despite the growth in Gross Domestic Product (GDP), many communities continue to experience poverty, unemployment, inadequate healthcare services, poor housing conditions and limited access to quality education.

Government officials argue that economic growth is laying the foundation for future prosperity. On the other hand, development experts maintain that growth alone is not sufficient unless it translates into improvements in people's standards of living.

#### **Task**

Prepare an essay in which you:

- (a) Distinguish between economic growth and economic development.
- (b) Examine the factors that have contributed to economic growth in Uganda.
- (c) Assess the extent to which economic growth promotes economic development.
- (d) Suggest measures that can be adopted to ensure that economic growth results in sustainable economic development.

#### **ITEM 2**

Uganda is a member of several regional and international trade organisations including the East African Community (EAC), COMESA and the African Continental Free Trade Area (AfCFTA). Through these arrangements, Uganda exports coffee, tea, fish products, flowers and manufactured goods while importing machinery, vehicles, petroleum products and industrial inputs.

Recently, concerns have emerged regarding persistent trade deficits, dependence on primary exports and increasing competition from imported products. At the same time, supporters of international trade argue that it promotes economic growth, technology transfer, employment creation and market expansion.

#### **Task**

Prepare an essay in which you:

- (a) Explain the basis of international trade between countries.
- (b) Analyse the benefits of international trade to developing countries such as Uganda.
- (c) Examine the challenges associated with international trade.
- (d) Evaluate the measures that can be adopted to improve Uganda's gains from international trade.

## **SECTION B**

**Choose only two items from this section**

### **ITEM 3**

The Ministry of Finance recently released a report showing that Uganda's national income has continued to increase over the years. However, economists noted that improvements in national income statistics do not always reflect improvements in the welfare of the population.

Some policy makers have therefore called for a more comprehensive analysis of national income data before formulating economic policies and development plans.

#### **Task**

Prepare an essay in which you:

- (a) Explain the concept of national income.
- (b) Describe the methods used in measuring national income.
- (c) Examine the difficulties encountered in measuring national income in developing countries.
- (d) Assess the usefulness of national income statistics in economic planning and policy formulation.

### **ITEM 4**

Over the past few years, Uganda has experienced fluctuations in the general price level. Prices of essential commodities such as sugar, fuel, cooking oil and transport services have increased significantly. At the same time, commercial banks have adjusted lending rates while the Bank of Uganda has periodically revised monetary policy measures to control inflation and maintain economic stability.

Business operators, consumers and policy makers continue to debate the causes and consequences of inflation as well as the effectiveness of monetary policy interventions.

#### **Task**

Prepare an essay in which you:

- (a) Explain the concept of inflation.
- (b) Analyse the causes of inflation in developing economies.
- (c) Examine the effects of inflation on consumers, producers and the economy.
- (d) Evaluate the measures that can be adopted to control inflation.

## **ITEM 5**

The Government of Uganda has increased expenditure on infrastructure development, education, healthcare, industrial parks and agricultural modernization programmes. To finance these activities, government relies on taxation, domestic borrowing, foreign assistance and other sources of public revenue.

While some economists support increased public expenditure as a tool for promoting economic development, others argue that excessive government spending and borrowing may create fiscal imbalances and hinder long-term growth.

### **Task**

Prepare an essay in which you:

- (a) Explain the objectives of public expenditure in an economy.
- (b) Analyse the sources of government revenue.
- (c) Examine the role of fiscal policy in promoting economic development.
- (d) Assess the challenges faced by government in implementing fiscal policy effectively.

**END**